



MINDTECK (INDIA) LIMITED
POLICY ON RELATED PARTY TRANSACTIONS

Version	Created By	Checked By	Approved By	Date of Release
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The Board of Directors (the “Board”) of Mindteck (India) Limited (the “Company”) has adopted this revised Policy on Related Party Transactions (“the Policy”), as required in terms of Regulation 23 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 effective from April 01, 2022.

PURPOSE

The Board recognizes that certain sales, purchases, payments, receipts and other transactions (hereinafter referred to as “transactions”) present a heightened risk of conflicts of interest or the perception thereof. Therefore, it has adopted this Policy to ensure that Transactions with Related Parties shall be subject to this policy and approval or ratification in accordance with Applicable Law. This Policy contains the policies and procedures governing the review, approval and reporting of such Related Party Transactions.

DEFINITIONS

1. **“Applicable Law”** means the Companies Act, 2013 and the Rules made thereunder, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and include any other statute, law, standards, regulations or other governmental instruction relating to Related Party Transactions.
2. **“Compliance Officer”** means an officer of the Company as appointed by the Board.
3. **“Key Managerial Personnel”** means
 - (i) the Chief Executive Officer or the Managing Director or the Manager;
 - (ii) the Company Secretary;
 - (iii) Whole-time Director;
 - (iv) the Chief Financial Officer.



4. **“Material Modifications”** means any modification to the existing Related Party Transaction which has the effect of increase in the value of original contract by 25% or more.
5. **“Material Related Party Transactions”** a transaction with a related party shall be considered material, if the transaction(s) to be entered into individually or taken together with previous transactions during a financial year, exceeds Rs. 1,000 Crore or 10% of the annual consolidated turnover of the listed entity whichever is lower, as per the last audited financial statements of the listed entity.
6. **“Relative(s)”** shall have the same meaning as assigned to it under Section 2 (77) of the Companies Act, 2013 and the Rules made thereunder and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. Accordingly “Relative” with reference to any person, means anyone who is related to another, if—
 - (i) they are members of a Hindu Undivided Family;
 - (ii) they are husband and wife; or
 - (iii) They are related to another in the following manner:
 - a. Father (including step-father)
 - b. Mother (including step-mother)
 - c. Son (including step-son)
 - d. Son’s wife
 - e. Daughter
 - f. Daughter’s husband
 - g. Brother (including step-brother)
 - h. Sister (including step-sister)
7. **“Related Party”** means a related party as defined under Section 2 (76) of the Companies Act, 2013 or under the applicable accounting standards:

Provided that:

- (a) any person or entity forming a part of the promoter or promoter group of the listed entity; or
- (b) any person or any entity, holding equity shares:
 - (i) of 20% or more until April 1, 2023; or
 - (ii) of 10% or more, **with effect from April 1, 2023;**

in the listed entity either directly or on a beneficial interest basis as provided under section 89 of the Companies Act, 2013, at any time, during the immediate preceding financial year; shall be deemed to be a related party:

Provided further that this definition shall not be applicable for the units issued by mutual funds which are listed on recognized stock exchange.

A 'related party' is a person or entity that is related to the Company. An entity shall be considered as related to the Company if:

(a) such entity is a related party under Section 2 (76) of the Companies Act, 2013, with reference to a Company, means:

- (i) a Director or his relative ;
- (ii) a Key Managerial Personnel or his relative ;
- (iii) a firm, in which a Director, Manager or his relative is a partner ;
- (iv) a private company in which a Director or Manager or his relative is a member or Director;
- (v) a public company in which a Director or Manager is a Director and holds along with his relatives, more than two per cent of its paid-up share capital ;
- (vi) any body corporate whose Board of Directors, Managing Director, or Manager is accustomed to act in accordance with the advice, directions or instructions of a Director or Manager ;
- (vii) any person on whose advice, directions or instructions a Director or Manager is accustomed to act:
Provided that nothing in sub-clauses (vi) and (vii) shall apply to the advice, directions or instructions given in a professional capacity;
- (viii) any Company which is –
 - (A) a holding, subsidiary or an associate Company of such Company ;
 - (B) a subsidiary of a holding Company to which it is also a subsidiary ; or
 - (C) an investing company or the venture of the Company;

Explanation- For the purpose of this clause, “the investing Company or the venturer of a Company” means a body corporate whose investment in the C would result in the company becoming an associate company of the body corporate.

- (ix) a Director other than an Independent Director or Key Managerial Personnel of the holding Company or his relative with reference to a Company; or

(b) such entity is a related party under the applicable accounting standards.

8. **“Related Party Transaction”** means a transaction involving a transfer of resources, services or obligations between:

- I. a listed entity or any of its subsidiaries on one hand and a related party of the listed entity or any of its subsidiaries on the other hand; or
- II. listed entity or any of its subsidiaries on one hand, and any other person or entity on the other hand, the purpose and effect of which is to benefit a related party of the listed entity or any of its subsidiaries, **with effect from April 1, 2023;**

regardless of whether the price is charged and a “transaction” with a related party shall be construed to include a single transaction or a group of transactions in a contract:

Provided that the following shall not be considered as related party transaction:

- (a) the issue of specified securities on a preferential basis, subject to compliance of the requirements under the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
- (b) the following corporate actions by the listed entity which are uniformly applicable/offered to all shareholders in proportion to their shareholding:
 - i. payment of dividend;
 - ii. subdivision or consolidation of securities;
 - iii. issuance of securities by way of a rights issue or a bonus issue; and
 - iv. buy-back of securities.
- (c) acceptance of fixed deposits by banks/Non-Banking Finance Companies at the terms uniformly applicable/offered to all shareholders/public, subject to disclosure of the same along with the disclosure of related party transactions every six months to the stock exchange(s), in the format as specified by the Board:

Provided further that this definition shall not be applicable for the units issued by mutual funds which are listed on a recognised stock exchange(s);

Related party transactions means any transaction, directly or indirectly, involving any Related Party that are subject to the provisions of Applicable Law and shall include the following:

- a. Purchase of raw materials, finished goods and fixed assets
- b. Sales of finished goods
- c. Cost contribution (Management Fees)
- d. Consulting service
- e. Business Support service
- f. Rent paid/received
- g. Interest income on inter corporate loans

Notwithstanding the foregoing, the following Related Party Transactions do not require the approval of Board or Shareholders, but requires the approval of Audit Committee:

- (i) Any transaction which is in the ordinary course of business and on an arms’ length basis as determined in terms of this Policy
- (ii) Any transaction entered into between a holding Company and its wholly owned subsidiary whose accounts are consolidated with such holding Company and placed before the shareholders at the general meeting for approval
- (iii) Transactions entered into between two wholly-owned subsidiaries of the listed holding



company, whose accounts are consolidated with such holding company and placed before the shareholders at the general meeting for approval.

- (iv) Any other exception which is consistent with the Applicable Laws, including any rules or regulations made thereunder, and must be approved in advance by the Audit Committee.

POLICY STATEMENT

A. Procedures for review and approval of Related Party Transactions

- (a) All Related Party Transactions or subsequent material modifications therein must be reported to the Compliance Officer, who shall refer same for prior approval by the Audit Committee in accordance with this Policy.

All Related Party Transactions of a subsidiary(ies) and subsequent material modifications, to which the Company is not a party shall require prior approval of Audit Committee, if the value of such transaction whether entered into individually or taken together with previous transactions during a financial year:

- Exceeds 10% of the annual consolidated turnover as per the last audited financial statements of the Company (up to March 31, 2023).
- Exceeds 10% of the annual standalone turnover as per the last audited financial statements of the Company (w.e.f. April 01, 2023).

However, the Audit Committee may grant omnibus approval for Related Party Transactions proposed to be entered into by the Company subject to the following conditions :

- (i) The Audit Committee shall lay down the criteria for granting the omnibus approval in line with the policy on Related Party Transactions of the Company and such approval shall be applicable in respect of transactions which are repetitive in nature.
- (ii) The Audit Committee shall satisfy itself the need for such omnibus approval and that such approval is in the interest of the Company;
- (iii) Such omnibus approval shall specify
 - the name/s of the related party, nature of transaction, period of transaction, maximum amount of transaction that can be entered into,
 - the indicative base price/current contracted price and the formula for variation in the price if any and
 - such other conditions as the Audit Committee may deem fit;

Provided that where the need for Related Party Transaction cannot be foreseen and aforesaid details are not available, Audit Committee may grant omnibus approval for such transactions subject to their value not exceeding Rs.1.00 Crore per transaction.

- (iv) Audit Committee shall review, at least on a quarterly basis, the details of RPTs entered into by the Company pursuant to each of the omnibus approval given.
- (v) Such omnibus approvals shall be valid for a period not exceeding one year and shall require fresh approvals after the expiry of one year"

(b) Materiality thresholds for related party transactions:

Regulation 23 of Listing Regulations requires the Company to provide clear threshold limits duly approved by the Board of Directors for related party transactions.

The related party transactions which exceeds the Materiality thresholds as mentioned below shall be entered by the Company only with prior approval of shareholders of the Company through a resolution, as per applicable provisions of the Act and the Listing Regulations, as may be amended from time to time.

- (i) The Company has fixed its materiality threshold of Rs.1000 crore or 10% of the annual consolidated turnover of the Company as per last audited financial statements of the company for the purpose of Regulation 23 (4) of SEBI (LODR) Regulations, 2015, whichever is lower.
 - (ii) Any other Related Party Transaction shall be placed before the Shareholders for approval, as per the threshold limits mentioned and in terms of the provisions of Section 188 of the Companies Act, 2013 read with relevant Rules.
- (c) Further only the Independent Directors who are members of the Audit Committee shall approve the Related Party Transactions.
- (d) The Audit Committee will also undertake an evaluation of the Related Party Transaction. If that evaluation indicates that the Related Party Transaction would require further approval of the Board, or if the Board in any case elects to review any such matter, the Audit Committee will report the Related Party Transaction, together with a summary of material facts, to the Board for its approval.
- (e) If the Board is of the view that the Related Party Transaction needs to be approved at a General Meeting of the shareholders pursuant to Applicable Law, the same shall be put up for approval of the shareholders of the Company.
- (f) If prior approval of the Audit Committee/Board/General Meeting for entering into a Related Party Transaction is not feasible, then the Related Party Transaction shall be ratified by the Audit Committee and the Board/General Meeting, if required, within 3 months of entering in the Related Party Transaction. If prior approval of the Audit Committee/Board/General Meeting for entering into a Related Party Transaction is not ratified within 3 months such Transactions shall be voidable.
- (g) In any case where either the Audit Committee/Board/General Meeting determines not to ratify a Related Party Transaction that has been commenced without approval, the Committee or Board or the General Meeting, as appropriate, may direct additional actions including, but not limited to, immediate discontinuation or rescission of the transaction, or modification of the transaction to make it acceptable for ratification. In connection with any review of a Related Party Transaction, the Audit Committee/Board has the authority to

- (h) All material related party transactions and subsequent material modifications shall require prior approval of the shareholders through resolution and no related party shall vote to approve such resolutions whether the entity is a related party to the particular transaction or not.
- (i) In determining whether to approve or ratify a Related Party Transaction, the Audit Committee / Board will take into account, among other factors it deems appropriate, whether the Related Party Transaction is on terms no less favorable than terms generally available to an unaffiliated third-party under the same or similar circumstances and the extent of the Related Person's interest in the transaction.
- (j) No Director or Key Managerial Personnel shall participate in any discussion or approval of a Related Party Transaction for which he or she is a Related Party, except that the Director / Key Managerial Personnel shall provide all material information concerning the Related Party Transaction to the Audit Committee / Board.
- (k) If a Related Party Transaction is an ongoing transaction, the Board/Audit Committee may establish guidelines for the Company's management to follow in its ongoing dealings with the Related Party. Thereafter, the Board/Audit Committee, at least on an annual basis, shall review and assess the ongoing relationships with the Related Party to ensure that they

are in compliance with the Act and rules made thereunder, the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and this Policy and that the Related Party Transaction remains appropriate.
- (l) In addition, the Audit Committee/the Board may review any Related Party Transactions involving Independent Directors as part of the annual determination of their independence.
- (m) Nothing in this Policy shall override any provisions of Applicable Law made in respect of any matter stated in this Policy.

B. Standards for Review

A Related Party Transaction reviewed under this Policy will be considered approved or ratified if it is authorized by the Audit Committee/Board, as applicable, in accordance with the standards set forth in this Policy after full disclosure of the Related Party's interests in the

transaction. As appropriate for the circumstances, the Audit Committee or Board, as applicable, shall review and consider:

- (a) the Related Party's interest in the Related Party Transaction;
- (b) the approximate amount involved in the Related Party Transaction;

- (c) whether the Related Party Transaction was undertaken in the ordinary course of business of the Company;
- (d) whether the transaction with the Related Party is proposed to be, or was, entered on an arms' length basis;
- (e) the purpose of, and the potential benefits to the Company from the Related Party Transaction;
- (f) Whether there are any compelling business reasons for the Company to enter into the Related Party Transaction and the nature of alternative transactions, if any;
- (g) Whether the Related Party Transaction includes any potential reputational risk issues that may arise as a result of or in connection with the Related Party Transaction and
- (h) Whether the Related Party Transaction would impair the independence of an otherwise Independent Director or nominee for Director;
- (i) Whether the Company was notified about the Related Party Transaction before its commencement and if not, why pre-approval was not sought and whether subsequent ratification would be detrimental to the Company; and
- (j) Whether the Related Party Transaction would present an improper conflict of interest, as per provisions of law, for any Director or Key Managerial Personnel, taking into account the size of the transaction, the overall financial position of the Related Party, the direct or indirect nature of the Related Party's interest in the transaction and the ongoing nature of any proposed relationship and any other factors the Audit Committee / Board deems relevant.
- (k) Required statutory and public disclosure, if any; and
- (l) any other information regarding the Related Party Transaction or the Related Party in the context of the proposed transaction that would be material to the Audit Committee/ Board/Shareholders, as applicable, in light of the circumstances of the particular transaction.

The Audit Committee/Board will review all relevant information available to it about the Related Party Transaction. The Audit Committee/Board, as applicable, may approve/ratify/recommend to the Shareholders, the Related Party Transaction only if the Audit Committee/Board, as applicable, determines in good faith that, under all of the circumstances, the transaction is fair as to the Company. The Audit Committee/Board, in its sole discretion, may impose such conditions as it deems appropriate on the Company or the Related Party in connection with approval of the Related Party Transaction.

C. Determination of Ordinary Course of Business

"In the Ordinary Course of Business" means all such acts and transactions undertaken by the Company, including, but not limited to sale or purchase of goods, property or services, leases, transfers, providing of guarantees or collaterals, in the normal routine in managing trade or business and is permitted by the Objects clause of the Memorandum of Association of the Company. The Company should take into account the frequency of the activity and its continuity

in a normal organised manner for determining what is in the ordinary course business.

D. Determination of Arms' length nature of the Related Party Transaction

(a) Price Determination

At the time of determining the arms' length nature of price charged for the Related Party Transaction, the Audit Committee shall take into consideration the following:

- (i) Permissible methods of arms' length pricing as per Applicable Law.
- (ii) Audit Committee shall be entitled to rely on professional opinion in this regard for the aforesaid purpose.

(b) Underwriting and Screening of arms' length Related Party Transaction

- (i) A Related Party with whom the Related Party Transaction is undertaken must have been selected using the same screening / selection criteria / underwriting standards and procedures as may be applicable in case of an unaffiliated party.

(c) Related Party Transaction limits:

- (i) The Related Party Transaction must be within the lower of the following transaction limits with respect to any Related Party:
 - 1. Limits on Material Related Party Transactions; and
 - 2. Expected transaction volumes based on past transactions with Related Parties using linear rate of growth as evidenced by past data.
- (ii) Credit limits extended to the Related Party must be usual as for unaffiliated parties.

If the Audit Committee is of the opinion that the Related Party Transaction meets the aforesaid criteria of Ordinary Course of Business and the Arms' Length nature, such Related Party Transaction need not be treated as a Related Party Transaction for the purpose of this Policy. However, necessary disclosures as per applicable Ind AS may be made in the Financial Statement.

E. Identification of Potential Related Party Transactions

- (a) Each Director/Key Managerial Personnel is responsible for providing written notice to the Compliance Officer of any potential Related Party Transaction involving him or her or his or her relatives, including any additional information about the transaction that the Compliance Officer may reasonably request. The Compliance Officer, in consultation with other members of management and with the Audit Committee, as appropriate, will determine whether the transaction does, in fact, constitute a Related Party Transaction requiring compliance with this Policy.
- (b) Every Director/Key Managerial Personnel of the Company who is in any way, whether directly or indirectly, concerned or interested in a transaction entered into or to be entered into shall disclose the nature of his concern or interest at the meeting of the Board in which the transaction is discussed and shall not participate in or exercise influence over any such meeting.
- (c) Where any Director/Key Managerial Personnel, who is not so concerned or interested at the time of entering into such transaction, he shall, if he becomes concerned or interested after

the transaction is entered into, disclose his concern or interest forthwith when he becomes concerned or interested or at the first meeting of the Board held after he becomes so concerned or interested.

- (d) A transaction entered into by the Company without disclosure or with participation by a Director/Key Managerial Personnel who is concerned or interested in any way, directly or indirectly, in the transaction, shall be voidable at the option of the Company.
- (e) Any Director/Key Managerial Personnel who has been convicted of the offence dealing with Related Party Transactions at any time during the last preceding five years shall be disqualified for appointment as Director/Key Managerial Personnel, as the case may be.
- (f) The Company strongly prefers to receive such notice of any potential Related Party Transaction well in advance so that the Compliance Officer has adequate time to obtain and review information about the proposed transaction and other matters incidental thereto and to refer it to the appropriate approval authority. Ratification of a Related Party Transaction after its commencement or even its completion may be appropriate in some circumstances, however.

F. Disclosures

- (a) The Company is required to disclose the policy on dealing with Related Party Transactions on its website and a web link thereto shall be provided in the Annual Report of the Company.
- (b) Details of all Material Related Party Transactions shall be disclosed quarterly along with the Company's Compliance Report on Corporate Governance, in accordance with the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- (c) The Company shall keep one or more registers giving separately the particulars of all the contracts with any related party.
- (d) Any other disclosures required under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and the Companies Act, 2013 as amended from time to time.

G. Amendment

- (a) This policy shall stand amended in terms of the Companies Act, 2013, the Rules made thereunder, and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time. The Board shall review this policy at least once in 3 years and update it accordingly.
- (b) Any amendment to this policy shall be in writing and become effective only when the same is approved by the Board.